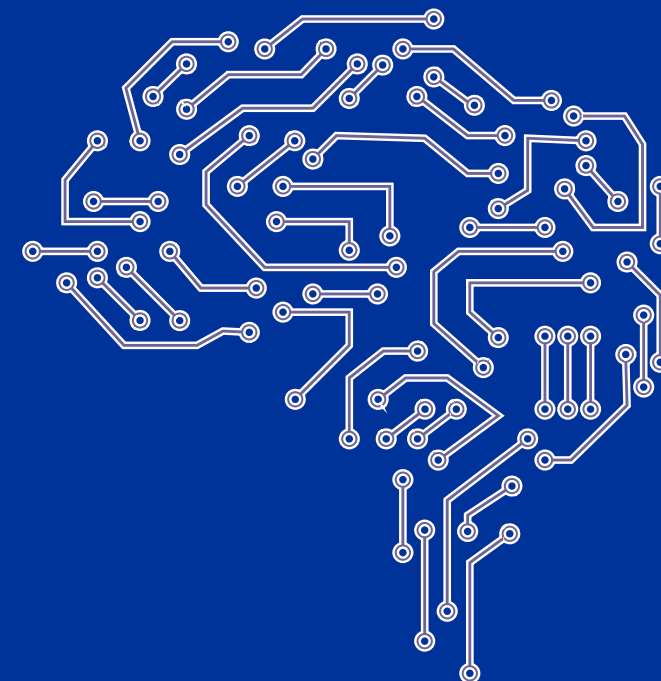


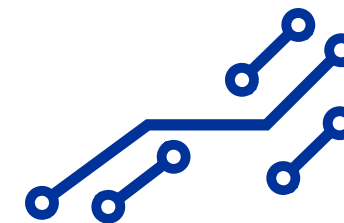
MADAGASCAR DATA CENTER MARKET BRIEFING

A strategic overview of the data center
investment opportunity in Madagascar

A Xalam Analytics Country Report

July 2025



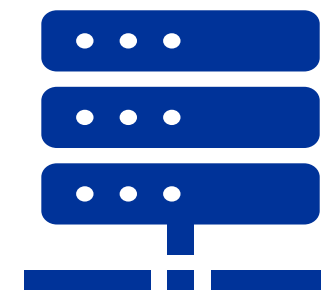


This report is part of a series of market briefs developed by Xalam Analytics at the behest of Digital Investment Facility (DIF) under the Data Governance in Africa Initiative, on the data center market opportunity in sub-Saharan Africa (“SSA”). This analysis aims to provide key insights into market demand and supply patterns for data center markets, business landscape, regulatory impact and investment returns. The research aims to provide potential investors and stakeholders with the latest information on the data center market in the SSA region.

This country review is based on our assessment of information and data as available to our research. It is further underpinned by our understanding of the marketplace along with market data and insights collected through continuous research. The numbers and estimates in this report are derived from a mix of sources, including estimates from Xalam Analytics’ economic models, data providers, regulator data and other sources as may be indicated.

This report is prepared with funds from the [Data Governance in Africa Initiative](#), a project financed by the European Union, Germany, Belgium, Estonia, Finland and France under the [Digital for Development \(D4D\) Hub](#). Its contents are the sole responsibility of Xalam Analytics and do not necessarily reflect the views of the funders.

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The Madagascar data center investment case

A push to accelerate digital transformation as Africa's largest island-country seeks to catch up on its regional peers



THE OPPORTUNITY

- **The largest island-nation in Africa**, and a sizable population of ~30m.
- **Considerable investment in infrastructure** over the past few years, notably terrestrial and subsea fiber and 4G network expansion.
- A sharp increase in fixed and mobile Internet penetration.
- A flexible electricity market with a handful of independent producers of power (IPPs).
- **A government looking to accelerate digital transformation through a mix of projects**, from e-payments to digital ID and expanding public service adoption of digital tools.

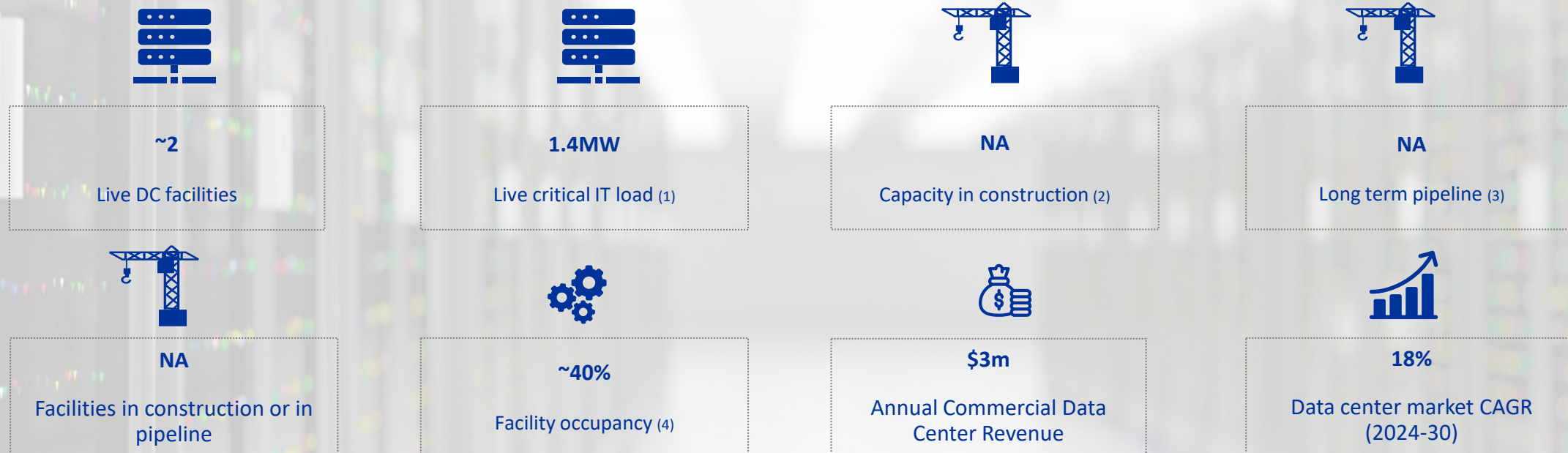


CHALLENGES & RISKS

- **Internet penetration levels are still low** - <50%
- **Scale of demand for data center hosting is relatively small**, <5MW.
- **Tight electricity supply**; available capacity is still short of potential demand
- **Some of the highest power prices in Africa**, >\$0.30/kWh.
- **A still-concentrated fiber market** and relatively high bandwidth costs.

Madagascar data center market overview

Estimates as of 2024



(1) Capacity that is active, under lease or readily available for lease by third-party customers.

(2) IT load capacity from facilities currently in construction; construction has broken ground; ongoing civil works, installation and commissioning phases are in progress.

(3) Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land control, energy supply commitments, etc.), but no actual civil works have been undertaken. Capacity expected to be available by the end of 2030.

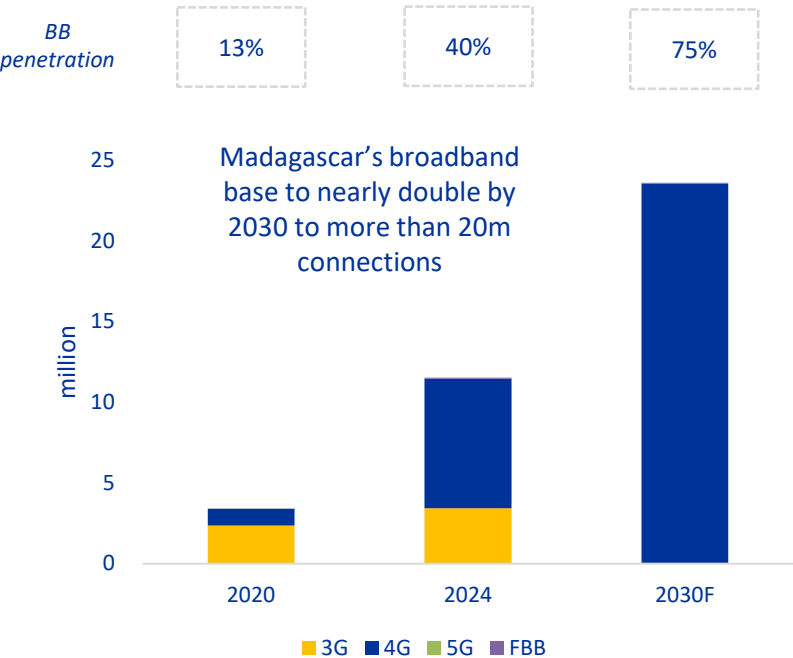
(4) Percent of available capacity that is effectively being used by third party customers.

Sources: Xalam Analytics estimates, provider data

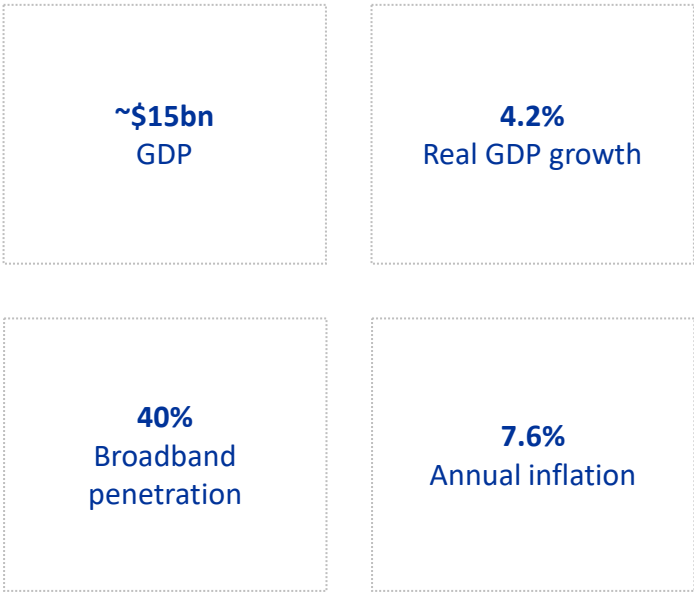
Key drivers of demand for data centers

The Malagasy market is in the midst of accelerated digital infrastructure build; the country seeks to expand digital adoption beyond the existing small base and close the gap with regional peer countries

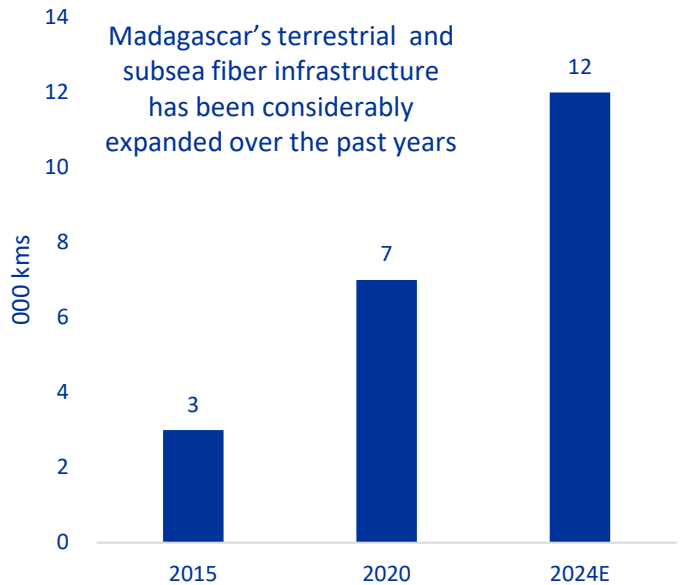
A growing digital customer base
- Madagascar broadband connections by type - million



Increased Internet adoption with some macro risk
Sample Madagascar economic indicators - 2024



Accelerated digital infrastructure build
Madagascar terrestrial fiber – 000 kms



Sources: INSTAT, IMF, ARTEC and provider data, Xalam Analytics estimates

Data center market conditions

Madagascar's data center operating environment is gradually improving, but constraints remain

Fiber Market



- Fiber market is relatively concentrated, with dominant presence from integrated telco Telma
- Rapid expansion of the fiber infrastructure; extensive terrestrial fiber coverage
- Good international fiber diversity: 4 subsea cables landing in the country, including the most recent, 2Africa
- Some downward pressure on international capacity pricing
- A relatively small wholesale data market (by African standards), around \$10m of annual revenue from terrestrial metro, long-haul fiber and international capacity services.

Electricity Market



- Madagascar faces a considerable power supply deficit; the country has an available power generation of around 500MW out of an installed capacity of nearly 1GW;
- Renewable contribution was around 45% in 2024, primarily from hydro sources.
- A competitive generation market, with a handful of independent power producers generating more than half of available capacity.
- Electricity prices are among the highest in Africa - \$0.30/kWh.
- A variety of tax incentives to foster renewable energy generation.

Data privacy & hosting regulations



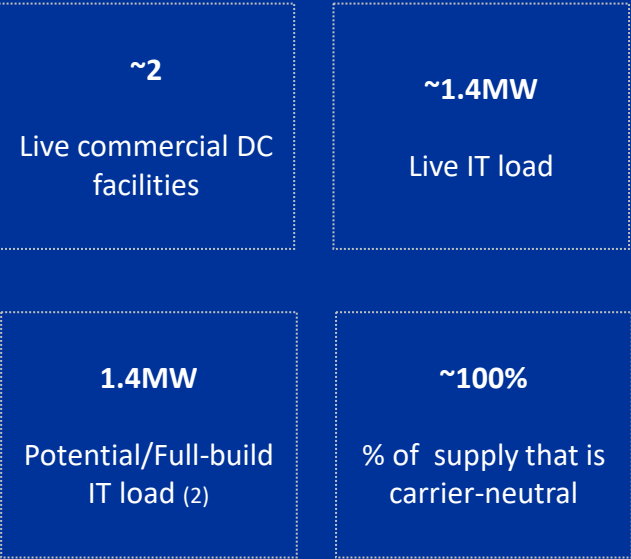
- Personal data law of January 2015.
- Cyber-criminality law of 2014.
- Transfer of personal data outside of Madagascar is allowed with authorization.

State of data center supply

Madagascar's data center capacity is still small, and slowly expanding

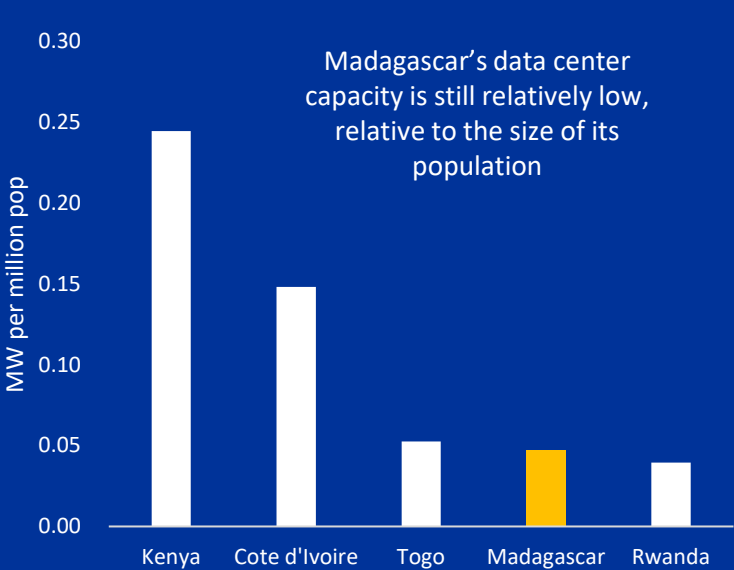
Madagascar data center supply – 2024E

Sample market indicators (1)



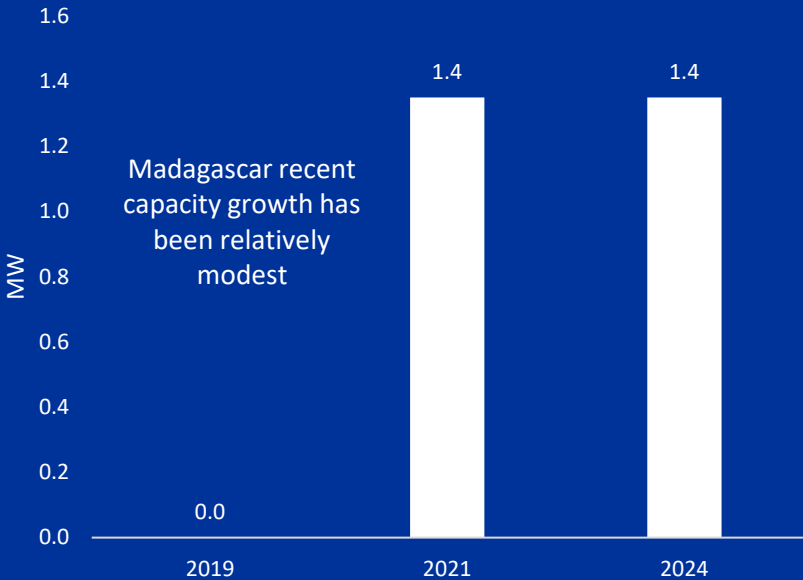
Madagascar vs. Sub-Saharan Africa peers

Critical IT load – MW per million population



Madagascar data center market – evolution of live supply

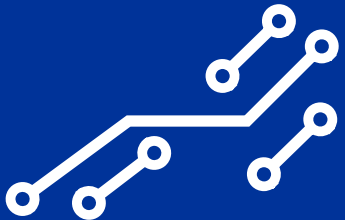
Critical IT load - in MW



(1)Numbers are rounded up (2) Potential/Full-build load is facility capacity assuming that all phases of development have been completed. Additional CapEx would be needed to make the residual capacity operational.
Sources: Xalam Analytics estimates, provider data



GLOSSARY & KEY DEFINITIONS



Key definitions

Data center	While there are a variety of definitions for data centers, this market review is focused on commercial facilities , that is, facilities that lease colocation white space and power capacity to third-party customers on open, commercial terms, and in exchange for a fee. Captive facilities (bank data centers, telco switch sites and similar) are excluded from this assessment. Estimates focus on facilities at Tier II standard and above, unless otherwise indicated. Where applicable, these estimates include cloud hyperscaler self-built facilities.
Live critical IT load	Capacity that is active, under lease or readily available for lease.
Full build capacity	Data center facilities are typically built in phases; the full-build capacity is capacity assuming all potential phases of build have been completed and are live.
Capacity in construction	Facilities that have broken ground; ongoing civil works, installation and commissioning phases.
Pipeline	Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land acquisition, power supply commitments, etc.), but no actual civil works have been undertaken.
Carrier-neutral	Facilities not specifically affiliated to a connectivity or cloud vendor, with capacity available to all third-party customers, on equal commercial terms, without explicit or implicit constraints or favoritism. This market review uses a loose definition for carrier-neutral, referring to facilities that are purely carrier-neutral, recognized by the market or effectively managed as such.

Glossary

Below are some of the key abbreviations used in this report

AI	Artificial Intelligence
ASN	Autonomous System Number
bn	billion
CAGR	Compound Annual Growth Rate
CapEx	Capital Expenditures
CDN	Content Delivery Network
Colo	Colocation
DC	Data Center
DIF	Digital Investment Facility
EAC	East African Community
EU	European Union
F	Forecast
FBB	Fixed Broadband
FDI	Foreign Direct Investment
FX	Foreign Exchange
GDP	Gross Domestic Product
GDPR	General Data Protection Regulation
ICT	Information, Communications and Technology
ISP	Internet Service Provider
IPP	Independent Power Producer
IT	Information Technology

kW	Kilowatt
kWh	Kilowatt Hour
LLM	Large Language Models
m	million
MNC	Multinational Corporation
MNO	Mobile Network Operator
MRR	Monthly Recurring Revenue
MSP	Managed Service Provider
MW	Megawatts
NDC	National Data Center
OEM	Original Equipment Manufacturer
POP	Point of Presence
PUE	Power Usage Effectiveness
RFS	Ready For Service
SEZ	Special Economic Zone
SSA	Sub-Saharan Africa
USD	US dollar
PUE	Power Usage Effectiveness
RFS	Ready For Service
SSA	Sub-Saharan Africa
YE	Year end



Learn more:

<https://d4dhub.eu/initiatives/data-governance-in-africa>

